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BUDGET 2026 BRIEFING · FOR FOUNDERS

The Founder's Digest.

What the Budget of 28 October 2026 means for founders building, scaling and selling a business.

10%
new CGT rate on up to £10m of qualifying founder gains

£500k
new lifetime limit on Business Asset Disposal Relief

6 April 2027
when most of the changes take effect

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REVENUEANDBEYOND.COM
Based on announcements made on 28 October 2026

In this briefing

Nine sections and one action list. Each section opens with its main point, so you can read the first paragraph of each and know where you stand.

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HOW TO USE THIS BRIEFING

01 Read **The short version** and **At a glance**. It takes five minutes.

02 Go to the section for your stage: building, scaling or selling.

03 Work through the actions in **What to do now** with your accountant.

04 Check **Still to be confirmed** before acting on anything that is under consultation.

A good Budget for big exits. A harder one for smaller ones.

From April 2027, a new Founders' Relief will tax up to £10m of lifetime gains at 10%, while Business Asset Disposal Relief is halved to £500,000. CGT rates, dividend tax and income tax on salaries were left alone. The money is raised from property and savings income, banks and gambling instead.

I have been through three exits, so the capital gains changes were the first thing I read. This briefing is the founder's cut of John Healey's first Budget: what changed, what it means at each stage of building, scaling and selling, and what I would do about it this quarter.



Simon Watson
Founder, Revenue & Beyond. Three exits: an IPO, a trade sale and a VC-backed sale.

FIVE THINGS TO KNOW

- **Selling:** new 10% Founders' Relief on up to £10m of lifetime gains, but with demanding tests. BADR lifetime limit cut from £1m to £500,000.
- **Capital gains:** headline CGT rates unchanged at 18% and 24%.
- **Scaling:** a £5bn boost to the British Business Bank, a new venture debt product, double the CSOP option limit and a ban on non-competes.
- **Your own money:** tax on property and savings income rises a further two points from April 2027. Dividends and employment income unchanged.
- **Costs:** National Living Wage up 3.9% to £13.21. Small business rates relief threshold for retail, hospitality and leisure up from £12,000 to £18,000.

THE BOTTOM LINE

The headline relief is out of reach for most founder-led businesses between £1m and £10m. For them, the real news is the BADR cut, and the useful measures are in equity, hiring and growth capital.

Seventeen measures that matter to founders

Most start in April 2027, which gives you a planning window of about five months.

MEASURE	WHAT CHANGED	STARTS	WHO FEELS IT
Founders' Relief (new)	10% CGT on up to £10m of lifetime gains. Proposed tests include a 25% founding stake, £10m+ turnover and 15+ staff. Under consultation	Disposals from 6 April 2027	Founders building towards a large exit
Business Asset Disposal Relief	Lifetime limit cut from £1m to £500,000. Maximum lifetime saving now £30,000	6 April 2027	Owner-managers planning a smaller exit
CGT rates	No change: 18% basic, 24% higher	Now	Anyone selling shares or assets
CSOP share options	Individual limit doubled from £60,000 to £120,000; 15-year exercise period; no longer counts against EMI limits	6 April 2027	Scale-ups too big for EMI
Capital allowances	Full expensing kept. Main first-year allowance 40% to 50%; main writing-down allowance 14% to 12%	FYA 1 Jan 2027; WDA 1 Apr 2027	Firms investing in kit and equipment
Company distributions	Rules modernised to stop profits being extracted at lower tax rates. Draft law for consultation in 2027	April 2028	Founders planning restructures or extraction
Property and savings income	A further two points: 24% basic, 44% higher, 49% additional	April 2027	Founders with rental income or cash on deposit
Dividend tax	No change (10.75% basic, 35.75% higher since April 2026)	Now	Founders paid in dividends
Cash ISA	£20,000 limit kept; planned cut to £12,000 scrapped	Now	Personal savings
National Living Wage	Up 3.9% to £13.21 an hour	1 April 2027	Employers of entry-level staff
Trading allowance	Tripled from £1,000 to £3,000	6 April 2027	People starting side ventures
Business mileage	55p a mile locked in for the first 10,000 miles; rate above rises from 25p to 35p	6 April 2027	Founders and teams who drive for work
Small business rates relief	Retail, hospitality and leisure threshold £12,000 to £18,000 (England)	April 2027	High-street businesses
Bank surcharge	Up from 3% to 6% for 15 months	Jan 2027 to 31 Mar 2028	Indirectly, borrowers
Online marketplace VAT	Platforms collect VAT on qualifying sales by UK sellers	October 2027	Founders selling through marketplaces
Non-compete clauses	Ban confirmed; consultations on the detail to follow	Position early 2027	Anyone hiring senior people
Young entrepreneurs allowance	Covers a year of living costs for young founders	To be confirmed	Early-stage founders

VAT registration thresholds, Corporation Tax (capped at 25%) and income tax rates on salaries are unchanged.

A large exit could save £1.4m. A smaller one costs up to £30,000 more.

If your company qualifies for Founders' Relief, a large exit after 6 April 2027 could save you up to about £1.4m in CGT. If it does not, the slice of any gain between £500,000 and £1m now costs an extra 6p in the pound, up to £30,000 in total.

FOUNDERS' RELIEF: WHAT WE KNOW

- **Rate and cap:** 10% CGT on qualifying share disposals, up to £10m of lifetime gains per individual. Co-founders each get their own £10m.
- **Who:** founders and significant early investors in UK companies that have shown sustained high growth and innovation.
- **Timing:** applies to disposals on or after 6 April 2027. The consultation closes on 30 November 2026, and the law comes in Finance Bill 2026/27.
- **Shared cap:** the £10m is reduced by any BADR or Investors' Relief you claim from 6 April 2027, so the reliefs do not stack.

The proposed tests

The consultation sets a high bar. You must meet every individual and company test, plus at least two of the three growth and innovation tests.

ALL OF THESE	PROPOSED CONDITION
Founding stake	At least 25% of the shares when the trade started, or when preparation for it began
Holding period	Shares held for at least five years before the sale
UK residence	UK resident for at least five continuous tax years before the sale
The company	UK trading company with a substantial UK presence, still running the trade it was set up for
Scale	Turnover of at least £10m and at least 15 full-time employees in the year before the sale

PLUS TWO OF THESE	PROPOSED CONDITION
Turnover	25% a year compound growth over three consecutive years, starting from £10m or more
Headcount	25% a year compound growth over three consecutive years, starting from 15 or more full-time staff
R&D	At least £1.5m of qualifying R&D spend, claimed within three years of the sale

Directors, contractors and agency workers do not count towards headcount. Excluded trades follow the EIS list, so property, finance and similar activities are out.

BADR is cut again

The BADR lifetime limit halves from £1m to £500,000 for disposals on or after 6 April 2027, with special rules for contracts signed before that date but completed after it.

At the current 18% BADR rate against 24% for higher-rate taxpayers, the most it can now save you over a lifetime is £30,000. The Chancellor says three in four claimants will see no change, because most never use more than £500,000.

What it means in pounds

Illustrative CGT on a share sale by a higher-rate taxpayer.

GAIN ON SALE	SALE BEFORE 6 APRIL 2027	SALE AFTER, NO FOUNDERS' RELIEF	SALE AFTER, WITH FOUNDERS' RELIEF
£400,000	£72,000	£72,000	£40,000
£2m	£420,000	£450,000	£200,000
£8m	£1.86m	£1.89m	£800,000
£20m	£4.74m	£4.77m	£3.4m

Ignores the £3,000 annual exemption. The Founders' Relief column assumes no BADR has been claimed, because BADR claims reduce the £10m cap.

IF YOU WILL QUALIFY

Every pound of gain up to £10m is taxed at 10% rather than 24%. On a £20m exit, that is a saving of around £1.37m against a sale with BADR alone.

IF YOU WILL NOT

BADR now covers only the first £500,000. On any gain above £1m, completing before 6 April 2027 saves £30,000, and no more.

MY TAKE

This relief is written for venture-style growth stories. To qualify through the growth route, a business already turning over £10m has to reach roughly £20m within three years. Most founder-led B2B businesses I work with, typically £1m to £10m in revenue, will not meet that, so for them the real news is the BADR cut. If that is you and an exit with a gain above £500,000 was already close, the date that matters is 6 April 2027. If you think you could qualify for Founders' Relief, the consultation closes on 30 November, and it is worth having your adviser respond.

The broadest start-up package in years

Beyond Founders' Relief, the Budget brings more growth capital, cheaper equity for scale-up hires, a ban on non-competes and easier routes for overseas talent. The Startup Coalition called it the boldest backing for start-ups and scale-ups of any government in years.

£5bn
added to British Business Bank capacity, now £30.6bn

£450m
new venture debt product for scale-ups

£120,000
new CSOP option limit per employee, up from £60,000

Capital

- **British Business Bank:** capacity up £5bn to £30.6bn. This includes £1.4bn more for equity funds, including growth-stage cornerstone funds for larger scale-up rounds.
- **Venture debt:** a new £450m product giving scale-ups growth capital without giving up equity.
- **Women founders:** a new scale-up programme for female founders, and British Business Bank commitments to women-led businesses and funds doubled to £200m.
- **Underserved areas:** £165m more for lending through community development finance institutions, and a new generation of Nations and Regions Investment Funds built with mayors.
- **Incubators:** £120m of incubator capital in 2027-28 for areas moving towards a devolution deal.
- **AI companies:** an extra £140m for the Sovereign AI Unit to back UK AI companies to scale here.

Founders starting out

- **Young entrepreneurs allowance:** a new allowance covering a year of living costs for young founders while they turn ideas into businesses. No amount or eligibility has been published yet.
- **Trading allowance:** tax-free income from a new venture rises from £1,000 to £3,000 from 6 April 2027, along with the Self Assessment reporting threshold.

Equity, talent and customers

EQUITY AND TALENT

- **CSOP, dubbed EMI2:** for companies too big for EMI, the individual option limit doubles from £60,000 to £120,000, the exercise period extends to 15 years, and CSOP options no longer eat into EMI limits. From 6 April 2027.
- **EMI tidy-ups:** 180 days to exercise after a disqualifying event, an exception for companies moving into employee ownership, and grant notifications replaced by the annual return from 6 April 2027.
- **Non-competes:** the ban is confirmed. Consultations on the detail, gardening leave and non-solicits will follow, with a full position in early 2027.
- **Visas:** the High Potential Individual visa widens to graduates of the world's top 150 institutions, and the Graduate visa extends to two years for graduates of high-compliance universities.

INNOVATION AND CUSTOMERS

- **R&D claims:** the claim notification form is scrapped for claims made from 1 April 2027, and the additional information form is simplified from autumn 2027.
- **Government as a customer:** a National Procurement Policy Statement goes to Parliament in spring, a UK supplier definition is due by January 2027, and an R&D procurement scheme gets £80m.
- **Regulation:** new cross-economy powers let firms test new technology faster, and regulatory admin cuts are worth almost £800m a year to business.
- **EIS, SEIS and VCT:** technical fixes from April 2027, plus work on advance assurance and fund fee transparency. The VCT relief cut from April 2026 was not reversed.

WHAT IS MISSING

- No reinvestment relief for founders who sell and back the next company, which industry lobbied for.
- No reform yet of gardening leave or notice periods, which can blunt the non-compete ban in practice.
- No concrete measure to get more pension money into UK start-ups.

MY TAKE

For a founder-led business between £1m and £10m, the headline relief is out of reach for now. The measures that will actually help are cheaper ways to hand equity to senior hires, the non-compete ban, venture debt that does not dilute you, and a government that says it wants to buy from smaller UK firms. Those are worth acting on this year.

Small operating changes, with one cost to plan for

For most founder-led B2B firms, the operating changes are small: wage costs rise in April 2027, hiring gets a little easier, and the cost of extracting profit is under review.

Investment

- **Full expensing stays** for companies buying new plant and machinery, so laptops and kit are still written off in year one.
- **Main first-year allowance rises from 40% to 50%** for spending from 1 January 2027. This mainly helps unincorporated businesses and leasing.
- **Main writing-down allowance falls from 14% to 12%** from 1 April 2027. Relief on second-hand and pooled assets now comes more slowly.

People

- **National Living Wage** rises 3.9% to £13.21 an hour from 1 April 2027, about £910 a year for a full-time worker. Expect pressure on the pay bands just above it.
- **Hiring and equity:** the non-compete ban, visa changes and CSOP expansion are covered in section 04. They sit on top of the EMI changes from April 2026, which raised the limits to 500 employees, £120m of gross assets and a £6m option pool.
- **Already in the pipeline:** payrolling of company cars and medical benefits becomes mandatory from April 2027, and salary-sacrificed pension contributions above £2,000 lose their NI exemption from April 2029.

Money and tax administration

- **Company distributions:** the rules will be modernised to stop profits being taken out at lower tax rates through complex arrangements, from April 2028, with draft law for consultation in 2027. Genuine ownership changes and family succession keep capital treatment.
- **HMRC:** more funding for compliance and stronger powers to collect overdue tax. Earlier self-assessment payment dates are confirmed from 2029.
- **Business rates:** the relief changes are aimed at retail, hospitality and leisure. Office-based businesses see no change.

Rental income and cash pay more. Dividends do not.

Founders with rental property or large cash balances pay more from April 2027. Dividends, salaries, ISAs and inheritance tax are untouched.

Property and savings income

The rates were already due to rise by two points in April 2027. They now rise by four points in total.

BAND	UNTIL APRIL 2027	ANNOUNCED IN BUDGET 2025	FROM APRIL 2027
Basic	20%	22%	**24%**
Higher	40%	42%	**44%**
Additional	45%	47%	**49%**

On £30,000 of rental profit, a higher-rate taxpayer pays £13,200 from April 2027, against £12,000 today. The Treasury says 84% of taxpayers will see no change.

Everything else

- **Dividends:** no change. Rates stay at 10.75% basic and 35.75% higher, as set in April 2026.
- **ISAs:** the £20,000 cash ISA limit stays. The planned cut to £12,000 is scrapped, and a new incentive for first-time stocks and shares investors will be designed with industry.
- **Inheritance tax:** no change to lifetime gifts, the seven-year rule or uplift on death. 100% business relief stays capped at £2.5m, and pensions come into IHT from April 2027 as planned.
- **High-value homes:** the council tax surcharge on homes worth £2m or more still starts in April 2028, from £2,500 a year up to £7,500 for homes over £5m.
- **Income tax thresholds:** still frozen until 2031, so fiscal drag continues.

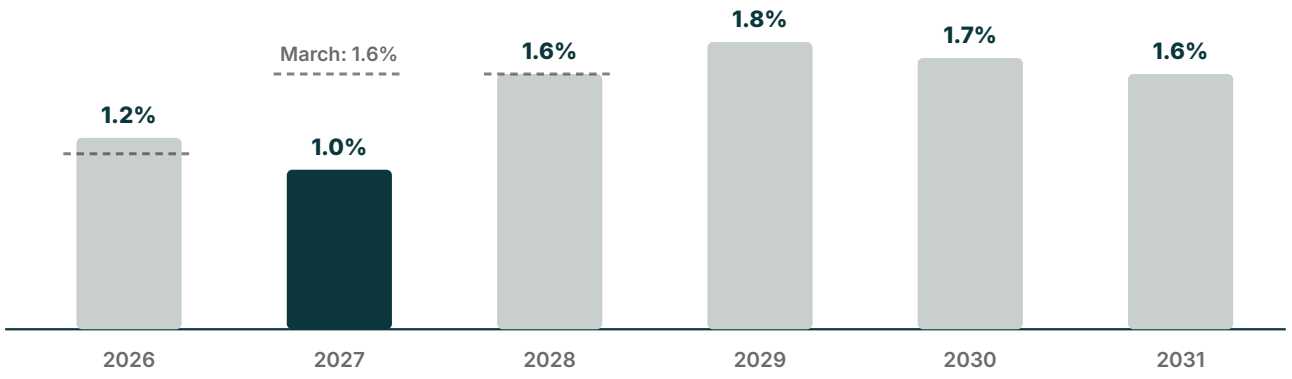
The rules are still met, with less room, and 2027 is the slow year

The government still meets its fiscal rules, but with less headroom than in March, and the OBR sees 2027 as the low point for growth.

OBR GROWTH FORECAST, % A YEAR

Growth slows to 1.0% in 2027, down from 1.6% forecast in March

Bars: October 2026 forecast. Dashed lines: March 2026 forecast, where published.



Source: OBR forecasts as stated in the Budget speech (Reuters) and the Spring Statement 2026 (BBC).

HEADROOM

£15bn against the stability rule in 2029-30, £9bn less than in March, rising to £22bn in 2030-31. Higher debt interest from the Middle East conflict more than explains the fall.

BORROWING

Still falling over the forecast, with the investment rule met by £24bn.

INTEREST RATES

Before the Budget, Cebr warned that energy-driven inflation had taken rate cuts off the table for now.

MY TAKE

For planning, I would treat 2027 as a flat year for demand and keep cost growth tight. Thin headroom also means the tax debate is not over: capital gains and wealth taxes were discussed hard before this Budget and will come back.

Actions for this quarter, by stage

The one hard date is 6 April 2027. Everything below is worth a conversation with your accountant before Christmas.

IF YOU ARE BUILDING

- [ ] **Clean up your cap table** and founder shareholdings now. Founders' Relief will test ownership, and records are easier to keep than to rebuild.
- [ ] **Track the numbers the tests use,** year by year: turnover growth, full-time headcount (excluding directors and contractors) and qualifying R&D spend.
- [ ] **Watch for the young entrepreneurs allowance** if you or your co-founder are early in your career.

FOR YOUR OWN MONEY

- [ ] **Model the 44% rate** on your rental profit from April 2027 if you hold property personally.
- [ ] **Use the full £20,000 ISA allowance,** now that the cash limit is safe.

IF YOU ARE SCALING

- [ ] **Budget for the April 2027 wage rise,** including the pay bands just above the National Living Wage.
- [ ] **Review your option scheme.** If you are too big for EMI, plan CSOP grants for after 6 April 2027, when the limit doubles to £120,000.
- [ ] **Look at the new venture debt product** before your next equity round, if you want growth capital without dilution.
- [ ] **Watch for the UK supplier definition** in January 2027 if you sell to the public sector.
- [ ] **Revisit senior hiring plans** once the non-compete legislation lands in early 2027.
- [ ] **Check the timing** of any big equipment spend against the capital allowance changes.

IF YOU ARE SELLING IN THE NEXT TWO YEARS

- [ ] **Model your expected gain** under both regimes, using the table in section 03.
- [ ] **Gain between £500,000 and £1m** and no Founders' Relief? Ask whether completing before 6 April 2027 is realistic. My view: do not let a £30,000 saving rush a sale process.
- [ ] **Test yourself against the proposed conditions** now. If you are close, have your adviser respond to the consultation by 30 November 2026.
- [ ] **Check any pre-sale restructure** against the coming changes to company distribution rules before you act.

What we do not know yet

This briefing is based on the Budget documents and the first adviser analysis. Several details that matter to founders are not yet public.

- The final Founders' Relief tests, which may change after the consultation closes on 30 November 2026.
- The detail of the special BADR rules for contracts signed before 6 April 2027 but completed after it.
- How the young entrepreneurs allowance will work, how much it pays and who qualifies.
- The design of the female founders scale-up programme and the new venture debt product.
- The draft company distributions legislation, due for consultation in 2027.

Sources

Budget 2026: Breathing space for today, hope for the future (HM Treasury)

Founders' Relief: technical consultation and consultation document (HM Treasury)

Budget 2026: Overview of tax legislation and rates (HM Treasury)

The Budget 2026 (Startup Coalition)

British Business Bank receives £5bn capacity boost (Finance Connect)

Founders' Relief among string of measures to encourage founders (Tech.eu)

Budget 2026 at-a-glance (TheBusinessDesk)

Autumn Budget 2026 summary (Bishop Fleming)

Healey reduces threshold for Business Asset Disposal Relief (City AM)

Chancellor to launch new Founders' CGT Relief (Financial Planning Today)

Government sets out lifetime founders' relief (Investment Week)

What the key announcements mean for your money (Unbiased)

Healey sets out response to global economic storms (Reuters)

Budget 2026: key points (PA)

Enterprise Management Incentives: 2026 changes (Saffery)

Spring Statement 2026: key points (BBC)



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